REPORT TO SHAREHOLDERS

MANAGEMENT'S DISCUSSION AND ANALYSIS

Third quarter operating earnings benefited from increased contributions from the Fresh Bakery operations, supported by a continued sales mix improvement to higher margin premium nutrition whole wheat and wholegrain products. This growth was somewhat offset by rising energy and other inflationary costs, which will be managed and offset over time.

Sales for the third quarter increased by over 3% to $346.1 million from $335.7 million for the prior year, while sales for the first nine months of 2005 increased approximately 4% to $1.0 billion.

Net earnings for the quarter were $23.0 million ($0.91 per share) compared to $19.0 million ($0.75 per share) last year. Year-to-date net earnings before restructuring costs were $59.4 million ($2.33 per share), compared to $47.4 million ($1.86 per share) last year. Including restructuring costs, year-to-date net earnings were $56.2 million ($2.21 per share).

Operating Review

Earnings from operations increased 13% to $32.9 million compared to $29.0 million last year, driven by increased earnings in the Fresh Bakery operations. Earnings from operations before restructuring costs for the year-to-date increased almost 19% to $85.4 million. Comparisons of earnings from operations exclude $4.7 million ($3.2 million after tax) of restructuring costs in the first quarter of 2005. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

Fresh Bakery sales of $249.9 million in the third quarter compared to $242.1 million last year, while sales for the first nine months were $717.8 million compared to $687.3 million last year. Earnings from operations increased to $24.9 million in the third quarter from $19.5 million last year, while year-to-date earnings from operations increased to $65.6 million from $46.4 million last year. An improved sales mix of higher value nutritious products, price increases, and reduced administrative and operating costs that benefited from Six Sigma initiatives all contributed to this growth in profitability.

Frozen Bakery sales increased to $96.2 million from $93.6 million in the third quarter of 2004, while sales for the first nine months increased to $289.8 million from $283.5 million last year. Sales growth in the third quarter was supported by strong market response in North America to the *Wholesome Harvest* line of high nutrition par-baked products including wheat, multigrain and whole grain breads and rolls. Operating earnings in the third quarter declined to $8.0 million from $9.5 million last year, while year-to-date operating earnings were $19.7 million compared to $25.4 million in 2004. The decline in operating earnings for the third quarter was primarily due to costs associated with commissioning of the new bagel plant in Rotherham, England and higher advertising and promotional spending to support the *New York Bagel* brand. In North America, increased frozen bakery sales were more than offset by higher distribution costs.

While the significant rise in energy costs impacted profitability in the quarter, the Company has the ability over time to manage these inflationary pressures through initiatives to lower energy consumption and other operating costs as well as through price increases.

Cash Flow and Financing

Cash flow from operating activities for the third quarter was a source of funds of $48.3 million compared to a source of funds of $32.8 million last year. This quarter-over-quarter improvement in cash flow was due to increased net earnings in the quarter and a decreased investment in working capital. Year-to-date cash flow from operations was a source of funds of $74.8 million compared with $94.2 million in the prior year-to-date. An increase in earnings was more than offset by an increased investment in working capital.

On October 26, 2005, the Company reached an agreement with Maple Leaf Foods Inc. to amend its revolving credit agreement. In accordance with the new financing arrangement, the term of the revolving facility has been extended for three years, maturing on December 27, 2008. To provide additional liquidity, the principal amount of the facility has been increased from $169 million to $250 million and the borrowing rate has been reduced to reflect lower credit spreads consistent with current market trends. Under the previous facility, Canada Bread had the option to repay up to $20 million of debt outstanding in common shares. This option does not exist under the amended facility. Management is of the opinion that this new facility, combined with operating cash flow will continue to provide the company with sufficient financial resources for its ongoing business requirements.

Capital expenditures for the third quarter were $10.3 million compared to $19.9 million last year, while year-to-date capital expenditures were $42.9 million compared to $44.5 million last year. These expenditures largely supported the installation of new equipment to support the new FroBake® line of products in the United States and completion of the new bagel plant in the United Kingdom.

Quarterly Financial Information

The following is a summary of unaudited quarterly financial information for the eleven interim periods ended September 30, 2005 (thousands of dollars except per share amounts).

		1st Quarter	2nd Quarter	3rd Quarter	4th Quarter	Total
Sales	2005	$ 316,861	344,610	346,144		$ 1,007,615
	2004	305,412	329,668	335,707	348,078	1,318,865
	2003	308,992	312,516	324,024	317,279	1,262,811
Net Earnings	2005	$ 11,885	21,262	23,038		$ 56,185
	2004	12,549	15,799	19,048	19,252	66,648
	2003	3,318	9,183	11,301	11,831	35,633
Net Earnings before restructuring costs	2005	$ 15,104	21,262	23,038		$ 59,404
	2004	12,549	15,799	19,048	19,252	66,648
	2003	8,120	9,183	11,301	11,831	40,435
Cash flow from operating activities	2005	($ 3,943)	30,433	48,326		$ 74,816
	2004	28,561	32,821	32,773	48,577	142,732
	2003	(3,774)	(6,250)	28,363	48,035	66,374
Earnings per share ($)						
Basic	2005	$ 0.47	0.84	0.91		$ 2.21
	2004	0.49	0.62	0.75	0.76	2.62
	2003	0.14	0.36	0.44	0.47	1.42
Diluted	2005	$ 0.47	0.83	0.90		$ 2.19
	2004	0.48	0.61	0.73	0.75	2.57
	2003	0.14	0.35	0.44	0.46	1.39

Recent Accounting Pronoucements

Sales Classification

In September 2005, the CICA issued EIC Abstract 156, "Accounting by a Vendor for Consideration Given to a Customer (including a reseller of the vendor's products)". The new guidance requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive, an identifiable benefit in exchange for the consideration. This EIC is effective for fiscal and interim periods beginning on or after January 1, 2006. The Company is currently assessing the impact of the standard.

Derivatives

In the ordinary course of business, the Company enters into derivative financial instruments to reduce underlying valuations and cash flow risks associated with foreign currency, interest rates and commodity prices. If the Company had not entered into these contracts, operating earnings for the third quarter of 2005 would have been lower by $0.6 million (2004: lower by $0.3 million) and lower by $0.1 million (2004: lower by $0.5 million) for the year-to-date. Interest expense for the third quarter of 2005 would have been higher by $0.3 million (2004: higher by $0.01 million), and on a year-to-date basis would have been higher by $0.7 million (2004: higher by $1.3 million).

Risk Factors

For a detailed analysis of risk factors that affect the Company, please refer to the 2004 Management's Discussion and Analysis included in the 2004 annual report to shareholders.

Forward-Looking Statements

This document contains forward-looking statements and information, which may include statements concerning the Company's outlook for the future, as well as other statements of beliefs, future plans and strategies or anticipated events, and similar expressions concerning matters that are not historical facts. The forward-looking information and statements are subject to risks and uncertainties that could cause actual results to differ materially from those expressed in, or implied by, the statements. These risks and uncertainties include, but are not limited to, the availability and prices of raw materials and supplies, product pricing, the competitive environment and related market conditions, operating efficiencies, access to capital, the cost of compliance with environmental and health standards, adverse results from ongoing litigation and actions of domestic and foreign governments. Canada Bread assumes no obligation to publicly update or revise these forward-looking statements even if experience or future changes make it clear that any projected results expressed or implied therein do not materialize. Refer to the Company's annual report, management proxy circular, annual information form and other filings with the Ontario Securities Commission and Toronto Stock Exchange for further information on risks and uncertainties that could cause actual results to differ materially from forward-looking statements.

Other Matters

The Company declared a dividend of $0.06 per share payable on January 3, 2006 to shareholders of record on December 16, 2005.

Canada Bread, which is 87.5% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2004 sales of $1.3 billion and employs approximately 7,300 people at its operations across North America and in the United Kingdom.